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ORIGINAL ARTICLE

Are firms motivated to greenwash by financial constraints? Evidence from global firms' data

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Abstract

Corporate social responsibility is the balance between a firm's economic outcomes and environmental protection. However, investors face increasing difficulties in selecting assets with suitable environmental, social, and governance (ESG) policies because companies may “greenwash” their activities by, for example, make misleading ESG disclosures. Here, we investigate the determinants that lead to companies engaging in ESG greenwashing. By analyzing international large-cap companies across 47 countries and territories, we create a peer-relative greenwashing score to measure the magnitude of ESG greenwashing by companies. First, we measure and evaluate the greenwashing by analyzing ESG disclosures and creating peer-relative performance scores that consider the level of disclosure and the real ESG performance. Second, we show that companies' greenwashing decisions are motivated by financial constraints and thus the financial environment is a determinant of greenwashing behavior. Third, we describe how intermediation can alleviate financial constraints and decrease greenwashing behavior. Moreover, highly leveraged companies may have increased financial pressure and thus may enhance their greenwashing behavior. Our findings are robust according to several different measurements of financial constraint indicators.

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